

Barclays Bank of Kenya Limited Financial Statements

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the period ended 31 March 2019

|      |                                                                                |  | Bank                                |                                      |                                     | Group                               |                                      |                                     |
|------|--------------------------------------------------------------------------------|--|-------------------------------------|--------------------------------------|-------------------------------------|-------------------------------------|--------------------------------------|-------------------------------------|
|      |                                                                                |  | March 2018<br>Shs '000<br>Unaudited | December 2018<br>Shs '000<br>Audited | March 2019<br>Shs '000<br>Unaudited | March 2018<br>Shs '000<br>Unaudited | December 2018<br>Shs '000<br>Audited | March 2019<br>Shs '000<br>Unaudited |
| I    | Statement of financial position                                                |  |                                     |                                      |                                     |                                     |                                      |                                     |
| A    | Assets                                                                         |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 1    | Cash balances (both local and foreign)                                         |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 2    | Balances due from Central Bank of Kenya                                        |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 3    | Kenya government and other securities held for dealing purposes                |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 4    | Financial assets at fair value through profit and loss                         |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 5    | Investment securities:                                                         |  |                                     |                                      |                                     |                                     |                                      |                                     |
| a)   | Held to maturity:                                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
|      | a. Kenya government securities                                                 |  |                                     |                                      |                                     |                                     |                                      |                                     |
|      | b. Other securities                                                            |  |                                     |                                      |                                     |                                     |                                      |                                     |
| b)   | Available for sale:                                                            |  |                                     |                                      |                                     |                                     |                                      |                                     |
|      | a. Kenya government securities                                                 |  |                                     |                                      |                                     |                                     |                                      |                                     |
|      | b. Other securities                                                            |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 6    | Deposits and balances due from local banking institutions                      |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 7    | Deposits and balances due from banking institutions abroad                     |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 8    | Tax recoverable                                                                |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 9    | Loans and advances to customers (net)                                          |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 10   | Balances due from banking institutions in the group                            |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 11   | Investment in associates                                                       |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 12   | Investment in subsidiary companies                                             |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 13   | Investment in joint ventures                                                   |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 14   | Investment properties                                                          |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 15   | Property and equipment                                                         |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 16   | Prepaid operating rental leases                                                |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 17   | Intangible assets                                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 18   | Deferred tax                                                                   |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 19   | Retirement benefit asset                                                       |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 20   | Other assets                                                                   |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 21   | Total assets                                                                   |  |                                     |                                      |                                     |                                     |                                      |                                     |
| B    | Liabilities                                                                    |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 22   | Balances due to Central Bank of Kenya                                          |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 23   | Customers' deposits                                                            |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 24   | Deposits and balances due to banking institutions (local)                      |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 25   | Deposits and balances due to banking institutions (foreign)                    |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 26   | Other money market deposits                                                    |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 27   | Borrowed funds                                                                 |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 28   | Balances due to banking institutions in the group                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 29   | Tax payable                                                                    |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 30   | Dividends payable                                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 31   | Deferred tax liability                                                         |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 32   | Retirement benefit liability                                                   |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 33   | Other liabilities                                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 34   | Total liabilities                                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| C    | Shareholders' funds                                                            |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 35   | Paid up/assigned capital                                                       |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 36   | Share premium/(discount)                                                       |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 37   | Revaluation reserves                                                           |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 38   | Retained earnings/(accumulated losses)                                         |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 39   | Statutory loan loss reserve                                                    |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 40   | Other reserves                                                                 |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 41   | Proposed dividend                                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 42   | Capital grants                                                                 |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 43   | Total shareholders' funds                                                      |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 44   | Minority interest                                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 45   | Total liabilities and total shareholders funds                                 |  |                                     |                                      |                                     |                                     |                                      |                                     |
| II   | Statement of comprehensive income                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 1    | Interest income                                                                |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 1.1  | Loans and advances to customers                                                |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 1.2  | Government securities                                                          |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 1.3  | Deposits and placements with banking institutions                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 1.4  | Other interest income                                                          |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 1.5  | Total interest income                                                          |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 2    | Interest expenses                                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 2.1  | Customer deposits                                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 2.2  | Deposits and placements with banking institutions                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 2.3  | Other interest expenses                                                        |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 2.4  | Total interest expenses                                                        |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 3    | Net interest income                                                            |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 4    | Non - interest income                                                          |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 4.1  | Fees and commissions income on loans & advances                                |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 4.2  | Other fees and commissions                                                     |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 4.3  | Foreign exchange trading income                                                |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 4.4  | Dividend income                                                                |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 4.5  | Other income                                                                   |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 4.6  | Total non-interest income                                                      |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 5    | Total operating income                                                         |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 6    | Operating expenses                                                             |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 6.1  | Loan loss provision                                                            |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 6.2  | Staff costs                                                                    |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 6.3  | Directors emoluments                                                           |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 6.4  | Rental charge                                                                  |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 6.5  | Depreciation on property and equipment                                         |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 6.6  | Amortisation charges                                                           |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 6.7  | Other operating expenses                                                       |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 7    | Total operating expenses                                                       |  |                                     |                                      |                                     |                                     |                                      |                                     |
|      | Profit before tax and exceptional items                                        |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 8    | Exceptional items                                                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 9    | Profit after exceptional items                                                 |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 10   | Current tax                                                                    |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 11   | Deferred tax                                                                   |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 12   | Profit after tax and exceptional items                                         |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 13   | Other comprehensive income                                                     |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 13.1 | Gains/(losses) from translating the financial statements of foreign operations |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 13.2 | Fair value changes in available for sale financial assets                      |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 13.3 | Revaluation surplus on property, plant and equipment                           |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 13.4 | Share of other comprehensive income of associates                              |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 13.5 | Income tax relating to components of other comprehensive income                |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 14   | Other comprehensive income for the year net of tax                             |  |                                     |                                      |                                     |                                     |                                      |                                     |
| 15   | Total comprehensive income for the year                                        |  |                                     |                                      |                                     |                                     |                                      |                                     |
|      | Earnings per share (Shs)                                                       |  |                                     |                                      |                                     |                                     |                                      |                                     |
|      | Dividends per share (Shs)                                                      |  |                                     |                                      |                                     |                                     |                                      |                                     |

|     |                                                   |  | Bank                                |                                      |                                     |
|-----|---------------------------------------------------|--|-------------------------------------|--------------------------------------|-------------------------------------|
|     |                                                   |  | March 2018<br>Shs '000<br>Unaudited | December 2018<br>Shs '000<br>Audited | March 2019<br>Shs '000<br>Unaudited |
| III | Other disclosures                                 |  |                                     |                                      |                                     |
| 1)  | Non-performing loans and advances                 |  |                                     |                                      |                                     |
| a)  | Gross non-performing loans and advances           |  |                                     |                                      |                                     |
| b)  | Less: Interest in suspense                        |  |                                     |                                      |                                     |
| c)  | Total non-performing loans and advances           |  |                                     |                                      |                                     |
| d)  | Less: Loan loss provisions                        |  |                                     |                                      |                                     |
| e)  | Net non-performing loans(c-d)                     |  |                                     |                                      |                                     |
| f)  | Discounted value of securities                    |  |                                     |                                      |                                     |
| g)  | Net NPLs (excess)/exposure(e-f)                   |  |                                     |                                      |                                     |
| 2)  | Insider loans and advances                        |  |                                     |                                      |                                     |
| a)  | Directors, shareholders and associates            |  |                                     |                                      |                                     |
| b)  | Employees                                         |  |                                     |                                      |                                     |
| c)  | Total insider loans and advances                  |  |                                     |                                      |                                     |
| 3)  | Off balance sheet items                           |  |                                     |                                      |                                     |
| a)  | Letters of credit, guarantees, acceptances        |  |                                     |                                      |                                     |
| b)  | Forwards, swaps and options                       |  |                                     |                                      |                                     |
| c)  | Other contingent liabilities                      |  |                                     |                                      |                                     |
|     | Total contingent liabilities                      |  |                                     |                                      |                                     |
| 4)  | Capital strength                                  |  |                                     |                                      |                                     |
| a)  | Core capital                                      |  |                                     |                                      |                                     |
| b)  | Minimum statutory capital                         |  |                                     |                                      |                                     |
| c)  | Excess/(deficiency)                               |  |                                     |                                      |                                     |
| d)  | Supplementary capital                             |  |                                     |                                      |                                     |
| e)  | Total capital                                     |  |                                     |                                      |                                     |
| f)  | Total risk weighted assets                        |  |                                     |                                      |                                     |
| g)  | Core capital/total deposit liabilities            |  |                                     |                                      |                                     |
| h)  | Minimum statutory ratio                           |  |                                     |                                      |                                     |
| i)  | Excess/(deficiency)                               |  |                                     |                                      |                                     |
| j)  | Core capital/total risk weighted assets           |  |                                     |                                      |                                     |
| k)  | Minimum statutory ratio                           |  |                                     |                                      |                                     |
| l)  | Excess/(deficiency)                               |  |                                     |                                      |                                     |
| m)  | Total capital/total risk weighted assets          |  |                                     |                                      |                                     |
| n)  | Minimum statutory ratio                           |  |                                     |                                      |                                     |
| o)  | Excess/(deficiency)                               |  |                                     |                                      |                                     |
| p)  | Adjusted core capital/total deposit liabilities   |  |                                     |                                      |                                     |
| q)  | Adjusted core capital/total risk weighted assets  |  |                                     |                                      |                                     |
| r)  | Adjusted total capital/total risk weighted assets |  |                                     |                                      |                                     |
| 5)  | Liquidity                                         |  |                                     |                                      |                                     |
| a)  | Liquidity ratio                                   |  |                                     |                                      |                                     |
| b)  | Minimum statutory ratio                           |  |                                     |                                      |                                     |
| c)  | Excess/(deficiency)                               |  |                                     |                                      |                                     |

Message from the Directors:

The separation from Barclays PLC will have an impact on Barclays Kenya's financial results over the next 2 years. This includes a substantial change in spend as we invest in systems required to be separated, the transitional service agreements costs we pay to Barclays PLC for the provision of various services during the separation period together with the costs that we shall incur for rebranding. In this quarter, we have reported separation costs of Shs 243 million; this is an exceptional item and will be incurred throughout the separation period.

These financial statements are extracts from the books of the institution and can be accessed on the institution's website [www.barclays.co.ke](http://www.barclays.co.ke). They may also be accessed at the institution's head office at The Westend Building, Waiyaki Way.

They were approved by the board on Wednesday 29 May 2019 and signed on its behalf by:

Charles Muchene  
Chairman

Jeremy Awori  
Managing Director

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